Investing in Stocks

Stocks are important investing tools. However, you don't necessarily need to invest in individual stocks. Publicly owned companies sell shares of stock to raise money for operations or business expansion, invest in new technology or equipment, or meet other financial needs. When you own stock, you actually own part of that company, and the value of your share rises and falls as the company's value changes.

When stock prices go down, you don't actually lose anything unless you sell while the price is low. A loss that is only on paper can be recouped the next time the stock rebounds, but selling locks in your loss and makes it final. It's important not to be scared out of your position prematurely. You must understand what you are investing in so that you can determine whether a decrease in stock price represents an opportunity to buy more shares "on sale" or whether something has fundamentally changed within the company that may cause you to rethink your position.

Stock Price

A stock's price has more to do with investors' perceptions than it does with the actual financial standing of the company. In the late 1990s, Yahoo!, Amazon, and other Internet stocks were inflated far beyond their real value because investors were enamored with the concept and the demand for the stocks kept pushing up the prices. When the bottom fell out of the technology market, some of these stocks lost most of their value. Yahoo!, for instance, which was once at $250 per share, traded below $5 per share in September of 2001 and September of 2002, and was valued at just $15 per share early in 2012.

When a stock price gets so high that investors are reluctant to buy, the company may declare a stock split. With a two-for-one split, you receive a free share of stock for every share you own, and the price per share is cut in half. The value of your investment doesn't change since there is twice the amount of shares in the company available for purchase, but the lower price may make it more attractive to investors and demand for the stock may